

EQUITY RESEARCH · COMPANY DEEP DIVE

Walmart Inc. (WMT.US)

Consumer Defensive · Discount Stores
Large Cap (>\$200B) · Report Date: June 12, 2026
Latest financials: Q1 FY2026 · Model data as of 2026-06-12

SELL

Blended Target: \$99.75

DCF + Comps + Analyst (see cross-check table)

Implied upside: -17.6%

Price (Jun): \$121.04

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$99.75 (-17.6% vs \$121.04); multi-method valuation after outlier checks.
- Modest revenue growth; compressed margins; strong roe; positive fcf generation
- Moderate revenue expansion (7.3% YoY)

INVESTMENT THESIS / EXECUTIVE SUMMARY

Walmart Inc. (WMT) — Consumer Defensive. Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates... **SELL** rating; blended target \$99.75. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$963.25B	Shares Out.	7958.1M
52-Week Range	\$93.62 – \$135.16	P/E (TTM)	42.6x
P/B	9.7x	Beta	0.60
Avg Volume	20.54M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$725.30B	Rev Growth	+7.3%
Op. Margin	4.2%	FCF (TTM)	\$14.92B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue (\$M)	680,985	713,163	765,224	810,066	849,370
Revenue Growth (%)	N/A	4.7%	7.3%	5.9%	4.9%
Net Income (\$M)	19,436	21,893	23,491	24,868	26,074
Net Income Growth (%)	N/A	12.6%	7.3%	5.9%	4.9%
Gross Margin (%)	24.9%	24.9%	25.0%	25.0%	25.0%
Net Margin (%)	2.9%	3.1%	3.1%	3.1%	3.1%
ROE (%)	21.4%	22.0%	23.6%	22.6%	22.6%
EPS (\$)	2.44	2.75	2.95	3.12	3.28
Book Value / Share (\$)	11.44	12.52	12.52	13.80	14.49
P/E (x)	49.56	44.00	41.00	38.73	36.94
P/B (x)	10.58	9.67	9.67	8.77	8.35
Dividend Yield (%)	82.0%	82.0%	82.0%	82.0%	82.0%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$81.93	-32.3%	28%	Included in blend
Comps — P/E (peer median)	\$69.05	-42.9%	—	Peer median P/E 24.3x
Comps — EV/EBITDA (peer median)	\$103.96	-14.1%	—	Peer median 19.0x
Comps — Blended (avg. of available multiples)	\$86.51	-28.5%	44%	Anchor multiple-based value
Analyst consensus (Yahoo Finance)	\$138.37	+14.3%	28%	Included in blend
Blended target (weighted)	\$99.75	-17.6%	100%	DCF 28% + Comps 44% + Analyst 28%
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	7.50%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$14.92B
PV explicit (5Y)	\$87.64B
PV terminal	\$564.38B
Equity value (adj.)	\$652.02B
Implied price	\$81.93
vs. current	-32.3%

INDUSTRY ANALYSIS

1. Industry Overview

Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates through three segments: Walmart U.S., Walmart International, and Sam's Club U.S. It operates supercenters, supermarkets, warehouse clubs, cash and carry stores, and discount stores under Walmart and Walmart Neighborhood Market brands;...

2. Key Trends

- Moderate revenue expansion (7.3% YoY)
- Defensive profile (β=0.60)
- Sector: Consumer Defensive | Industry: Discount Stores

3. Risk Factors

- Premium valuation (P/E: 42.6x)

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
PG	Procter & Gamble Compa	\$348.38B	21.9x	14.8x	19.2%	+7.4%
KO	Coca-Cola Company (The	\$355.47B	26.0x	23.2x	27.8%	+12.1%
PEP	Pepsico, Inc.	\$197.21B	22.6x	12.8x	9.1%	+8.5%
COST	Costco Wholesale Corpo	\$435.65B	49.4x	31.3x	3.0%	+21.5%
WMT*	Walmart Inc.	\$963.25B	42.6x	23.0x	3.1%	+7.3%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Modest revenue growth; compressed margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.